NORTHPOINTE BANCSHARES INC NPB

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by LDMR

			2026	2027
Price:	15.50	EPS	2.4	2.8
Shares Out. (in M):	35	P/E	6.5	5.5
Market Cap (in $M):	550	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

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This is not a complicated thesis. The idea is that a bank earning ~15% on equity and reinvesting almost all of its earnings should compound book value at close to the same rate. Buy it around book, allow the returns to improve and add a modest re-rating, and the stock can work well. Northpointe Bancshares (NPB) offers that combination.

At ~$15.5 PS, NPB trades at ~0.9x BV and 6.3x annualized H1 2026 earnings, despite generating >15% return on tangible common equity in that period. Its two growth businesses are mortgage warehouse financing and a specialized first-lien mortgage product. Both can grow without an expensive branch network.

If ROE builds from ~15% toward the high teens (which should be achievable for reasons detailed in the write-up) and the bank retains ~all of its earnings, I believe BVPS can reach ~$25 in three years. At 1.5x BV, that would put the share price at ~$38, or roughly 2.5x the current price. Lower interest rates at some points, additional capital capacity from coming rule changes and the replacement of legacy (lower ROE) loans with MPP / AIO (higher ROE) provide a path to higher returns.

There are reasons for the low multiple. Funding is expensive, the business is tied to the mortgage market and management takes an unusually large share of the profits. The investment case is that returns to common shareholders, after all of those costs, can improve as the business mix changes. At <1x book, investors get a good downside protection, while at the same time heroic assumptions are unnecessary for an outsized outcome.

Background and Business Breakdown

Northpointe was founded in 1999 and muddled along until it launched its Mortgage Purchase Program (MPP) in 2010. It expanded residential lending nationally in 2012, benefited from the refinancing boom, then narrowed its focus toward MPP and All-in-One (AIO) lending. The company went public in February 2025.

Founder and CEO Chuck Williams still runs the company and owns ~9.5% of the shares. Total insider ownership with directors and executive officers totals >18%.

The biggest pieces of the business are:

1. Mortgage Purchase Program. Providing financing to independent mortgage bankers between the closing of a mortgage and its sale / securitization. The exposure is typically held for 30 days. NPB earns interest and administrative fees, and can sell participations to other banks.
   The business has a ~3% market share (assuming 60% MPP line utilization, $240B mortgage warehouse balance industry-wide), so a significant runway for growth.
2. All-in-One Lending. A first-lien revolving mortgage combined with a checking-account sweep. Deposits reduce the outstanding loan balance, while spending can draw the balance back up. It is a licensed product that connects a borrower's mortgage with everyday cash management. The rate floats, but the loan itself is generally a 30-year commitment, so it should not be confused with short-term credit. I think of it as mortgage + home equity + checking account rolled into one product.
3. Residential Origination and Servicing. NPB also originates mortgages for sale and services loans. These activities generate fee income, but results depend on origination volumes, gain-on-sale margins and servicing valuations. These loans are adjustable rate and are mostly in a runoff.
4. Digital Deposits. A national deposit platform funds the lending businesses without a large branch network. This trades off operating costs for deposits that tend to be expensive. Consequently, NPB pays market rates for much of its funding.

The bank reports two segments: MPP and Retail Banking, with AIO, residential origination, servicing and deposits grouped in the latter. MPP is increasingly the earnings engine (along with the growing AIO):

Net income before preferred dividends ($M)	**H1 2025**	**H1 2026**	**Change**
MPP	16.7	29.1	+74%
Retail Banking	20.8	14.8	-29%

Net income before preferred dividends ($M)	H1 2025	H1 2026	Change
Total	37.6	43.9	+17%

MPP generated roughly two-thirds of H1 income. Having this segment account for a growing piece of the pie is positive, because it is low risk (it has had zero credit losses since the business started in 2010) and it has a higher ROE than the legacy business. Individual advances are reviewed, backed by specific mortgage collateral and typically supported by an investor take-out commitment and a seller repurchase obligation. Most turn in less than 30 days.

Why can't any bank with deposits copy this? Because the bank needs to review and fund large numbers of loans quickly, manage the documents and collateral, track the take-outs and get the cash back reliably. NPB has built the technology, operating scale and customer relationships to do that. The company funded $12.8B across more than 28,000 loans in Q2 alone. That is an operating moat: a new entrant needs both the infrastructure and enough volume to make it economical.

I discussed this scale requirement in my previous VIC writeup of Merchants Bancorp (MBIN), which is a competitor in mortgage warehousing. My understanding is that NPB and MBIN often serve the same mortgage originators, and that warehouse banks actually encourage customers to have more than one funding partner. This is therefore not an exclusive-customer moat. What is difficult to replicate is a dependable platform that can handle the volume at an attractive cost.

After growing MPP loans 4x in 2.5 years, capital is the main constraint of how much MPP NPB can retain. The CFO explicitly said so on the Q2 call. As a result, NPB sells participations to partner banks ($489M was outstanding at June 30) keeping a small administration / servicing fee rather than the full lending spread. Since the customers and loan flow already exist and it is "merely" capital that limits how much NPB can keep on its own balance sheet, a rule change next year could support material ROE expansion (more on this later).

AIO is the other growth engine:

AIO portfolio	Balance ($M)	Growth
December 2023	506.0	—
December 2024	612.1	21.0%
December 2025	732.6	19.7%
June 2026	797.2	8.8%

That is ~58% growth in two and a half years. AIO grew another $36.7M in Q2, a 19% annualized pace. The company guided that the AIO balance should reach $900M-$1B by yearend. These are first-lien loans to high net worth borrowers tied to the customer's checking account, with monthly rate resets and lending limited to 80% of property value.

AIO earned a 7.26% loan yield in Q2 before origination and other loan fees, compared with 6.35% for MPP, or 6.59% including MPP fees. The company mentioned that AIO produces an ROE comparable to MPP.

As both MPP and AIO become a larger share of the balance sheet, I expect consolidated ROE to move higher.

Valuation

At a BVPS of $16.56 (as of 3 months ago, when the company last reported, likely over $17 today) and a $15.5 share price, NPB is available for under 1x book. Note that I use tangible common book throughout (The company's $17.69 headline book value includes preferred capital and doesn't use the FD share count).

H1 diluted EPS was $1.22, or $2.44 annualized, which puts the PE at ~6.3x. Applying a 15% ROE to the latest $16.56 BV gives ~$2.48 EPS. The two calculations tell the same broad story.

The bank can retain the earnings, put them into MPP / AIO and earn at least comparable returns on a larger common-equity base. All of the earnings and return assumptions here are after management compensation, taxes and preferred dividends. There are no compensation add-backs.

Before I offer a fair value valuation framework, let's address what must be on everyone's mind at this point.

Why Is It Cheap?

First, NPB looks like a mortgage bank, and to some extent it is one. MPP has different economics from retail origination, but it still needs a functioning mortgage market. Investors typically do not like to pay a recurring-spread multiple for every dollar of gain-on-sale or servicing income.

That said, management did not simply wait for refinancing volumes to come back. In 2024, noninterest expense fell by $38.5M, or 25%, as lower variable compensation and deliberate cuts resized the origination platform. The business mix is also moving toward MPP / AIO.

Second, the funding model is not especially attractive. Time deposits were 66% of average deposits in 2025, while noninterest-bearing deposits were only 5%. Wholesale funding was still ~63% in Q2 2026. This is not a bank collecting a large pool of cheap operating deposits and lending the money at a high spread.

Q2 NIM was 2.33%, down from 2.42% in Q1, reflecting lower asset yields and competitive pressure. Another 25 bps of compression on ~$7.3B of earning assets would cost roughly $0.39 of annual diluted EPS after tax, before offsets. Reported quarterly ROE also fell from 15.7% to 14.7%. While I expect a rise in ROE in the coming years (for reasons detailed below), I do not claim that returns will rise linearly every quarter.

Third, compensation is unusual. The CEO Chuck Williams receives 10% of consolidated after-tax income. David Christel, who runs MPP, effectively receives 5% of that business's net income. These incentives are in addition to other compensation.

Do I like this structure? No. Williams' total 2025 compensation was ~$7.95M. His ownership provides alignment, but does not offset the cost. The important point for valuation is that these payments are already reflected in earnings. I am neither adding them back nor assuming the board changes the arrangements.

Fair Value Framework

I believe that there are four ways ROE could increase from here:

1. Lower rates at some point (yes, I know, "at some point" does the heavy lifting in the sentence). Lower mortgage rates could bring more purchases and refinancings, increasing MPP funding volumes and origination fees. More volume through the existing platform can improve operating leverage. However, MPP / AIO loan yields can also reset lower.
   This is the most speculative of the 4, so I include it more to demonstrate that at the very least, it does not seem like one would be investing at the peak of the mortgage market.
2. Capital rules and retaining more MPP. The March 2026 standardized-capital proposal is estimated to reduce required common equity tier 1 capital for smaller banks by 7-8% in aggregate. If finalized broadly as proposed, it would allow NPB for roughly 7–8% more lending capacity on the same equity basis.

This means that NPB can use the extra capacity to retain more of the existing MPP flow and sell less to partners. It would earn the full lending spread rather than just the small participation fee. In other words, more earnings on the same equity base, without needing new customers or an equity raise.

3. Liquidation and repricing of the legacy portfolios. About $1.75B, or 27% of held-for-investment loans, was outside MPP / AIO at June 2026; ~$1.67B of that was residential mortgages. NPB is allowing this book to run off while concentrating new retained lending in MPP / AIO. I assume most of the legacy book pays down over the next 5–7 years (when rates float), with proceeds redeployed at higher yields and returns. That can improve earning power without growing total assets.
4. Purchase of tax credits will structurally lower the tax rate by 2 percentage points going forward.

I believe that #2 and #3 above should each contribute 1-2% to ROE, #4 will contribute 50bps to ROE, while #1 is more speculative of course. There should be some scale benefit too, but unfortunately not as material as could have been without the unusual compensation structure. For these reasons I think that ROE should increase to the 17-20% range in the coming years.

For the sake of conservatism, I model a 15% → 16% → 17% return progression.

If we start with the relationship between ROE and retained earnings: NPB's $0.025 quarterly dividend is only $0.10 annually against $2.44 of annualized H1 diluted EPS, leaving ~96% to reinvest. With a stable share count, BVPS growth should therefore be close to ROE.

If we assume returns on opening common book of 15% in year one, 16% in year two and 17% in year three, and retain 96% of those earnings, BVPS reaches ~$25.4:

Three-year retained-earnings model	**Year 1**	**Year 2**	**Year 3**
Opening BVPS	$16.54	$18.92	$21.82
Assumed ROE on opening book	15.0%	16.0%	17.0%
Earnings per share	$2.48	$3.02	$3.71
Earnings retained	96%	96%	96%
BVPS growth (ROE x retention)	14.40%	15.36%	16.32%
Ending BVPS	$18.92	$21.82	$25.38

At 1.5x BV, that would put the share price at $38.1, roughly 2.45x the $15.5 stock price. That is 145% upside, or ~35% annually over three years, excluding dividends. And of course, the sooner NPB trades at 1.5x book, the higher the IRR.

A 1.5x BV multiple at a 17% forward return on book implies ~8.8x NTM earnings. That does not strike me as an aggressive PE for a bank that can reinvest almost all of its profits at those returns. At an 18% ROE it would be ~8.3x.

From an earnings perspective, a 17% return on the ending ~$25.38 BV would imply ~$4.31 EPS in the following year, or less than 4x the current price. Even

without a re-rating, a 1x BV exit would imply ~$26, or ~68% price appreciation (still a respectable 19% IRR).

Risks

1. Fraud, documentation defects, an originator failure or a disrupted secondary market can interrupt the expected MPP take-out. The program also includes non-QM and second-lien loans (it is not all government-guaranteed collateral).
    i. At June 2026, extended-dwell facilities were $64.1M, up from $56.5M at year-end, or ~1.6% of MPP balances. These are not the same as defaults, and NPB reported no MPP delinquencies or credit losses in H1. Nevertheless, this is an important number to watch.
2. Funding and margin pressure. Rate-sensitive deposits and wholesale borrowing work only while they remain available at an acceptable cost. Lower rates could help volumes while hurting spreads.
3. Legacy runoff and reset timing. The ARM-heavy structure limits the period of initial fixed-rate exposure, but does not eliminate all rate risk after a reset (contractual caps, differences between asset and funding rates, etc.). Credit risk is also not zero across the entire legacy book: NPB reported nonperforming assets equal to 0.80% of assets after excluding loans wholly or partly government-insured.
4. Reinvestment at the modeled ROE. I don't expect a 3% market share to bring the company close to saturation, but if it will continue growing fast, at some point it will and then we can no longer assume that growth = ROE.
5. The re-rating may not happen. A 1.5x BV exit requires investors to become comfortable with the durability of earnings. If spreads and mortgage fees weaken together, book growth could disappoint at the same time as the multiple stays low.

With a 3–5 year view, I think the key is whether retained capital continues to earn attractive returns. A few uneven quarters would not by themselves disprove the thesis. The issue would be if we see persistent spread deterioration, rising credit losses or slowed growth.

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Catalyst

Continued MPP / AIO growth and reinvestment of retained earnings at improving ROE. Capital relief from rules that kick in 2027 could let NPB retain more existing MPP flow, earning more on the same equity.

Messages

No messages